

Multiple Choice (10 marks)

1. If OLS is applied separately to each equation that is part of a simultaneous system, the resulting estimates will be
 - (a) Biased, inconsistent, and inefficient.
 - (b) Biased but consistent
 - (c) Unbiased and consistent
 - (d) Biased but inconsistent for one equation only
 - (e) Unbiased and efficient
2. If a bank has 500 in checking deposits and the bank is required to reserve 50 what is the reserve ratio? How much does the bank have in excess reserves?
 - (a) 5 percent \$475 in excess reserves
 - (b) 10 percent \$50 in excess reserves
 - (c) 30 percent \$350 in excess reserves
 - (d) 60 percent \$200 in excess reserves
 - (e) 80 percent \$100 in excess reserves
3. In the equation $GDP = C + I + G + X - M$ X stands for
 - (a) exports.
 - (b) exports minus imports.
 - (c) imports.
 - (d) gross domestic product.
 - (e) consumption.
4. Assume the reserve requirement is five percent. If the FED sells \$10 million worth of government securities in an open market operation then the money supply can potentially
 - (a) decrease by \$200 million.
 - (b) decrease by \$100 million.
 - (c) increase by \$200 million.
 - (d) decrease by \$10 million.
 - (e) increase by \$500 million.
5. Suppose that there are only two goods: x and y. Which of the following is NOT correct?

- (a) One can have comparative advantage in producing both goods.
- (b) One can have both an absolute advantage and a comparative advantage in producing x.
- (c) One can have absolute advantage and no comparative advantage in producing x.
- (d) One can have comparative advantage and no absolute advantage in producing x.

True / False (10 marks)

Answer True or False

- 6. True or False: The demand curve for a perfectly competitive firm's product is perfectly elastic at the market price.
- 7. True or False: The United States Treasury, Federal Reserve Banks, and commercial banks are key sources of money creation in the economy.
- 8. True or False: An increase in both demand and supply for grapes will lead to a rise in equilibrium price while the quantity remains unchanged.
- 9. True or False: Dialogue, compromise, and industrial action are recognized methods for resolving labor disputes in formal negotiations.
- 10. True or False: After 4 years of 12% annual inflation, the real value of 1,000 *will remain around* 880 in current prices.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of currency exchange rates by calculating the expected price of a British pound in German marks. Additionally, analyze how an Englishman could exploit arbitrage opportunities if the market undervalues the pound.
- 12. Discuss the relationship between Keynesian economics and the market economy, focusing on Keynes's views on government intervention and its role alongside private enterprise.

End of Paper